

Multiple Choice

1. **Answer:** D

Options: A) the industry contracts as firms exit the market.; B) the industry expands as firms exit the market.; C) the industry contracts as firms enter the market.; D) the industry expands as firms enter the market.

Note: The correct answer is based on the principle that when the market price exceeds the average total cost, firms can earn economic profits, which incentivizes new firms to enter the market, leading to industry expansion in the long run.

2. **Answer:** C

Options: A) inflation falls and unemployment rises.; B) inflation rises and unemployment falls.; C) inflation and unemployment both rise.; D) Inflation and output both rise.

Note: Stagflation is characterized by the simultaneous increase in inflation and unemployment, reflecting a stagnating economy where rising prices do not lead to job creation or economic growth.

3. **Answer:** D

Options: A) a demand curve.; B) a marginal benefit curve.; C) a linear production possibility frontier.; D) a concave production possibility frontier.

Note: The law of increasing costs indicates that as production of one good increases, the opportunity cost of producing additional units of that good rises, which is graphically represented by a concave production possibility frontier that reflects diminishing returns.

4. **Answer:** A

Options: A) A government subsidy.; B) A government tax.; C) A higher price.; D) A lower level of output.

Note: A government subsidy is correct because it encourages the production or consumption of goods or services that generate positive externalities, helping to align private benefits with social benefits.

5. **Answer:** B

Options: A) is primarily concerned with money.; B) is primarily concerned with how resources are used.; C) relies solely on the scientific method for analysis.; D) is primarily concerned with maximizing spiritual well-being.

Note: The correct answer is justified because economics studies how individuals, businesses, and governments allocate limited resources to satisfy their needs and wants, focusing on the efficiency and effectiveness of these resource utilizations.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: A visit to the orthodontist is not a public good because it is a private service that requires payment and is not freely accessible to everyone.

7. **Answer:** True

Options: A) True; B) False

Note: Spending \$50.00 at a restaurant is classified under consumer spending when calculating GDP because it represents an expenditure by households on goods and services, which is a key component of the Gross Domestic Product calculation.

8. **Answer:** True

Options: A) True; B) False

Note: A budget deficit occurs when a government spends more money than it collects in taxes, leading to a shortfall that must be financed through borrowing or other means.

9. **Answer:** True

Options: A) True; B) False

Note: When both expansionary fiscal and monetary policies are implemented simultaneously, increased government spending and lower interest rates can offset each other's effects, leading to stable interest rates in the economy.

10. **Answer:** False

Options: A) True; B) False

Note: In an oligopoly, price is not equal to marginal revenue for all firms because firms face a downward-sloping demand curve, leading to a situation where marginal revenue is less than the price due to the necessity of lowering prices to sell additional units.

Long Form Response

11. **Answer:** A price ceiling is a government-imposed limit on how high a price can be charged for a product or service. When a price ceiling is set below the equilibrium price, it leads to a situation where the quantity demanded exceeds the quantity supplied, resulting in a shortage. This occurs because consumers are willing to buy more at the lower price, but producers are not willing to supply enough to meet that demand. The implications of this are that some consumers may be unable to purchase the product, leading to inefficiencies in the market. Overall, while price ceilings aim to make goods more affordable, they can disrupt the balance between supply and demand.

Note: The answer correctly identifies a price ceiling as a government limit on prices, explains that setting it below the equilibrium price creates a shortage by increasing quantity demanded while decreasing quantity supplied, and highlights the resulting implications for consumer access to the product.

12. **Answer:** An increase in the money supply in the economy typically leads to a decrease in nominal interest rates. When more money is available, banks have more to lend, which increases the supply of loans and decreases the cost of borrowing money, reflected in lower interest rates. As nominal interest rates fall, it becomes cheaper for consumers and businesses to borrow, encouraging spending and investment. This can stimulate economic growth as more money circulates through the economy, leading to increased consumption and potentially higher levels of employment. However, if the money supply grows too quickly, it could also risk inflation, which can offset some of these positive effects.

Note: correct because an increase in the money supply leads to lower nominal interest rates, which reduces the cost of borrowing, thereby encouraging spending and investment that stimulates economic growth.